



TEST CODE **02216020**

FORM TP 2012170

MAY/JUNE 2012

**CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION**

ECONOMICS

UNIT 2 – Paper 02

2 hours 30 minutes

30 MAY 2012 (a.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of **THREE** sections.
2. There are **TWO** questions in each section. Candidates **MUST** answer **THREE** questions, **ONE** from **EACH** section.
3. Answers for **ALL** questions must be written in the answer booklet provided.
4. Begin **EACH** question on a separate page.
5. Candidates may use silent, non-programmable calculators.

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02216020/CAPE 2012



SECTION I

Answer ONE question from this section.

1. (a) Explain the difference between 'Gross Domestic Product (GDP)' and 'Gross National Product (GNP)'. [4 marks]
- (b) Define EACH of the following approaches for measuring GDP, and outline how EACH approach is used.
- (i) Income approach
- (ii) Expenditure approach [6 marks]
- (c) Discuss TWO ways in which growth in a country's GDP may **negatively** impact the country's standard of living. [6 marks]
- (d) (i) Distinguish between 'marginal propensity to consume' (MPC) and the 'average propensity to consume' (APC) and state how EACH is calculated. [4 marks]
- (ii) Using the simple Keynesian consumption theory, explain the effect of a rise in income on the MPC and APC. [5 marks]

Total 25 marks

2. (a) Using the classical economic model, explain why disequilibrium employment exists. [6 marks]
- (b) Analyse, using aggregate demand and supply curves, how a global recession may impact the aggregate demand and output of the economy of your country. [10 marks]
- (c) Identify THREE non-price determinants of aggregate supply and explain how EACH determinant influences the level of aggregate supply. [9 marks]

Total 25 marks

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SECTION II

Answer ONE question from this section.

3. (a) (i) Distinguish between 'unemployment' and 'underemployment'. [4 marks]
(ii) Outline FOUR types of unemployment. [8 marks]
(b) (i) With the use of examples, describe TWO types of inflation. [6 marks]
(ii) Differentiate between 'nominal interest rate' and 'real interest rate'. [4 marks]
(c) Explain how expansionary monetary policy may be used, instead of fiscal policy, to increase employment in the economy. [3 marks]

Total 25 marks

4. (a) Define EACH of the following terms:
(i) 'Fiscal policy' [2 marks]
(ii) 'Budget surplus' [2 marks]
(iii) 'Transfer payments' [2 marks]
(b) Outline THREE limitations of EACH of the following policies:
(i) Monetary [3 marks]
(ii) Fiscal [3 marks]
(c) Identify FOUR sources from which governments can borrow large sums of money to finance their expenditure. [4 marks]
(d) Evaluate THREE possible **negative** consequences of government borrowing. [9 marks]

Total 25 marks

SECTION III

Answer ONE question from this section.

5. (a) Explain what is meant by the term 'economic integration'. [3 marks]
- (b) Outline THREE benefits and THREE costs associated with economic integration. [12 marks]
- (c) Outline the THREE major stages of economic integration that CARICOM countries have attempted to achieve over the past 30 years. [6 marks]
- (d) Evaluate the extent to which CARICOM countries have achieved economic integration. [4 marks]

Total 25 marks

6. (a) (i) Explain the difference between a 'current account transaction' and a 'capital account transaction' in the balance of payments statement. [2 marks]

The following data relate to the balance of payments of a country.

Item	Amount (\$)
Merchandise exports	+40
Merchandise imports	-30
Services exports	+15
Services imports	-10
Investment income	-5
Net transfers	+10
Capital inflows	+10
Capital outflows	- 40
Official reserves	+10

- (ii) Using the data in the table, calculate
- a) the current account balance [3 marks]
- b) the overall balance of payments. [2 marks]
- (b) Outline FOUR ways in which a global recession may impact the main accounts of the balance of payments. [8 marks]
- (c) Distinguish between 'absolute advantage' and 'comparative advantage'. [4 marks]
- (d) Discuss TWO policy options that a country may use to correct a trade deficit. [6 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.